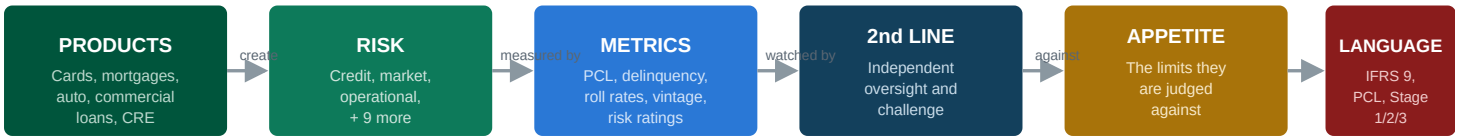
STUDY NOTES · VISUAL

TD Risk Reporting — How It All Connects

One diagram per concept. Read the picture first, then the words underneath it.

THE WHOLE SYSTEM ON ONE PAGE — everything Sarah asked about is one chain



All of it is written in one house dialect — that is the sixth thing she asked for, and it wraps the other five.

Where our engagement sits inside that chain

PILLAR 1 — Analytics

- Explain why delinquency and loss moved
- Assess against appetite
- Connect outcomes to credit strategy

Author the risk narrative each cycle

PILLAR 2 — Automation

- Own the business logic
- Prioritise the build
- Run validation and UAT
- Sign off the outputs

You specify and approve — engineering builds

PILLAR 3 — Client

- Senior risk stakeholders
- Programme roadmap
- Delivery accountability
- Escalation

They hear problems from you first, or you have failed

Read the top row left to right. Products create risk; risk is observed through metrics; the second line watches those metrics; appetite is the standard. The bottom row is the job description mapped onto the same chain.

01 TD's shape — segments, and why "Canadian" changes the vocabulary

02 Products, and the two ways a loan goes wrong

03 IFRS 9 — the model behind every credit number

04 The delinquency ladder — how an account actually moves

05 Vintage curves — the chart that settles arguments

06 Mix versus rate — where a movement really came from

07 Commercial credit — a different machine

08 Risk appetite — statement to number

09 Three lines of defence

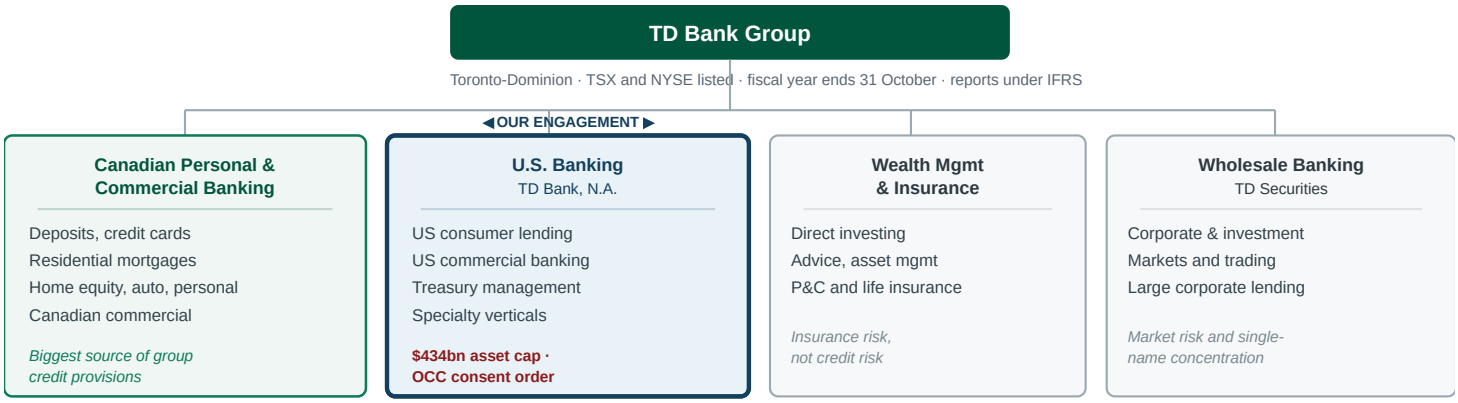
10 Credit feeds capital

11 The monthly cycle

12 Glossary

01 TD's shape

Four operating segments, two countries, one accounting rulebook that is not the American one.



Plus a **Corporate** segment holding treasury activity and the cost of the anti-money-laundering remediation programme.

Our work sits in the boxed segment. Canadian P&C and U.S. Banking are the two consumer books; Wholesale is where large corporate credit lives.

The two facts that change the vocabulary

Fiscal year ends 31 October	TD's **Q1 is November to January**, Q2 February to April, Q3 May to July, Q4 August to October. Saying "Q1 2026" and meaning January–March puts you a quarter out, and people notice.
Reports under IFRS, not US GAAP	**IFRS** — International Financial Reporting Standards — is the accounting rulebook used in Canada and most of the world. **US GAAP** — Generally Accepted Accounting Principles — is the American one. On credit losses they differ materially: IFRS uses **IFRS 9** with a three-stage model (§3); US GAAP uses **CECL** — Current Expected Credit Loss — which books a lifetime loss estimate from day one with no staging.

THE QUESTION TO ASK IN WEEK ONE

If our scope touches the US entity, **both bases may be running at once** — IFRS 9 for group consolidated reporting and CECL for US regulatory filings. The same portfolio produces different allowance numbers under each, so a reconciliation that ignores the basis will never tie.

Who supervises them

OSFI	Office of the Superintendent of Financial Institutions — Canada's prudential regulator and TD's primary supervisor.
OCC	Office of the Comptroller of the Currency — the US national bank regulator; issued the 2024 consent order.
Fed / FDIC	US holding-company supervision and deposit insurance.
Basel Committee	Global standard-setter, not a regulator. Sets capital rules, and **BCBS 239** — the principles for risk data aggregation and risk reporting that a reporting automation programme is effectively measured against.

02 Products, and the two ways a loan goes wrong

Every lending product has a characteristic failure mode. Knowing which one belongs to which product is how you read a portfolio report.

TWO PATHS TO A LOSS — and they are managed in completely different places

UNSECURED — a probability problem

Credit cards · personal loans · overdraft

Borrower stops paying → Nothing to seize → **You lose nearly all of the balance**

Managed at the front door and the back door:
who you approve · what limit you give · how well you collect

SECURED — a severity problem

Mortgages · home equity · auto · commercial real estate

Borrower stops paying → Seize and sell the collateral → **Loss = shortfall vs what it sells for**

Managed through collateral and time:
loan-to-value at origination · how fast you can resolve it

So they are measured by different things

Unsecured — you watch frequency

- Delinquency and flow rates — how many are failing
- Utilisation — balance ÷ limit, the stress signal
- Payment ratio — are they paying more than the minimum
- Vintage curves — is each new cohort worse than the last

Secured — you watch severity

- Loan-to-value and combined loan-to-value
- Collateral values — used-car and house price indices
- Time to resolution — every week adds carrying cost
- Lien position — are you first or second in the queue

A single blended "portfolio delinquency" number across both hides two completely different stories. Someone will always ask you to split it, so split it first.

TD's consumer products (US)

PRODUCT	WHAT IT IS	HOW IT GOES WRONG
Credit cards	Revolving unsecured credit with a limit — rewards, cash back, balance transfer, travel, low intro rate, credit-building	Pure probability of default. Losses arrive fast, recover little. Utilisation is the leading signal.
Personal loans TD Fit Loans, to $50K	Fixed-rate unsecured instalment	Also probability-driven, but **front-loaded** — most defaults land in the first 12–24 months.
Residential mortgages	Loans secured on a home	Rare but large. Whether a default becomes a loss depends on equity, not payment ability.
Home equity	Lump-sum loan or a revolving line — a **HELOC**, Home Equity Line Of Credit	Three specific traps — see the box below.
Auto TD Auto Finance	Indirect — originated through dealers, bought by the bank	Both. The car depreciates faster than the loan amortises, so the borrower is under water early. Used-car prices move severity across the whole book at once.
Overdraft	TD Debit Card Advance	High frequency, tiny amounts. The reporting question is volume and fee regulation, not loss rate.

THE HOME EQUITY LINE TRAPS — THESE COME UP

End of draw. A home equity line is interest-only during a draw period (usually ten years), then fully amortising. The payment jumps sharply at the transition. This is a **known, datable cliff** — you can build a forward schedule of accounts hitting it years ahead, and senior risk will expect one.

Lien position. A second lien behind someone else's first mortgage is often wiped out entirely in a foreclosure — severity near 100%. **A second-lien home equity line behaves more like unsecured lending than the word "secured" suggests.**

Undrawn commitment. An approved but undrawn line is still exposure, and borrowers draw it down exactly when they are deteriorating — so exposure rises at the same moment default probability does.

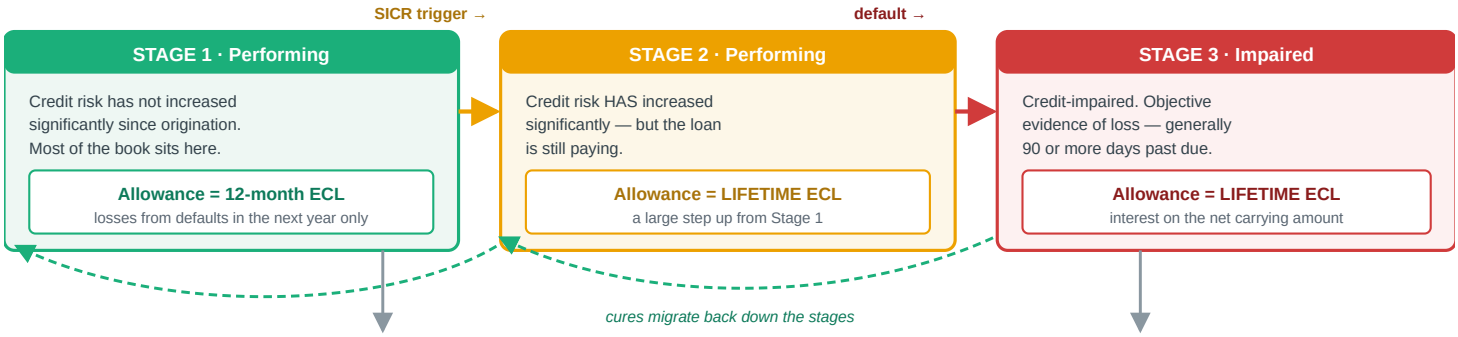
TD's commercial products (US)

Commercial financing	Ordinary business lending — term loans and revolving working-capital lines.
Asset-based lending	Lending against receivables and inventory rather than general creditworthiness, monitored through a continuously updated "borrowing base."
Commercial real estate	Lending on income-producing property. **Office is a sector-wide area of elevated attention** across the industry.
Equipment finance	Financing specific equipment, secured on it. Severity depends on resale value.
Sponsor financing	Lending to private-equity-owned companies. More leveraged by design, so more sensitive to a downturn.
Capital call facilities	Short-term lines to private equity funds, secured on the fund's right to call capital from investors. **Structurally very low loss** — repayment comes from committed institutional capital, not operating performance.
Platform LBO & acquisition finance	**LBO** is a leveraged buyout — a debt-financed company acquisition. High leverage by design; subject to regulatory leveraged-lending expectations.
Dividend recapitalisation	New borrowing used to pay the owners a dividend. Adds debt without adding assets, so it weakens credit quality by construction.
Franchise lending	McDonald's and restaurant franchisees. Well-understood unit economics; the concentration is by brand and sector.
Treasury management	Liquidity, payables, receivables, commercial cards, fraud control, information services. **Fee income, not credit risk** — but operational and fraud risk, and the stickiest part of the relationship.
Verticals	Healthcare, government and municipal, education, not-for-profit, industrials, consumer and retail, technology, professional services. They exist because credit analysis differs by industry — and because **industry concentration is a reportable limit**.

03 IFRS 9 — the model behind every credit number

Not complicated, but the vocabulary is exact. You cannot read a TD credit disclosure without it.

A LOAN'S LIFE UNDER IFRS 9 — and how it becomes a number in the accounts



Movement between stages becomes PCL — Provision for Credit Losses — the charge in the income statement

PCL — Stage 1 and Stage 2 (performing)
Reserve build or release on loans that are still paying.
Driven by stage migration and by the macro scenarios.
The forward-looking half

PCL — Stage 3 (impaired)
Provisions against loans that have actually gone bad.
Tracks realised credit experience.
The backward-looking half

How to read the split in one line

Performing PCL up while impaired PCL is flat = the **outlook** deteriorated, usually a scenario update — not the book. That distinction is a standard question.

The trigger between Stage 1 and Stage 2 is a SICR — Significant Increase in Credit Risk. Because the allowance jumps from twelve-month to lifetime at that boundary, a modest amount of migration produces a large reserve movement.

```
ECL — Expected Credit Loss — = PD × LGD × EAD

  PD  · Probability of Default  — how likely they stop paying
  LGD · Loss Given Default      — what fraction you lose when they do
  EAD · Exposure At Default     — how much is outstanding at that moment
```

WHY THE STAGING IS USUALLY THE STORY

A provision can move sharply with no change in anyone's payment behaviour, because **"how much migrated into Stage 2" often explains a provision number better than defaults do.** When provisions move and delinquency did not, look at migration and at **FLI** — Forward-Looking Information, the probability-weighted base, upside and downside macro scenarios feeding the loss estimate. A change in the unemployment or house-price forecast moves provisions on its own.

Vocabulary crosswalk — what to say and what not to say

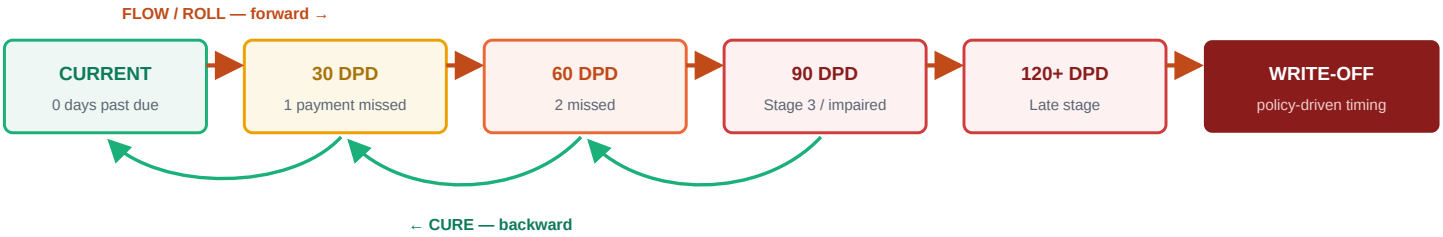
TD / IFRS TERM	US GAAP EQUIVALENT	NOTE
Provision for credit losses (PCL)	Provision expense	The income-statement charge, split performing vs impaired.
PCL ratio	Provision rate	Annualised PCL as a % of average credit volume. **0.43% in Q1 FY26.**
Gross impaired loans (GIL)	Non-performing loans	Stock of impaired exposure. **Formations** = new impaired loans in the period.
Allowance for credit losses (ACL)	ACL / reserve	Same words, but built on IFRS 9 staging rather than CECL lifetime-for-everything.
Stage 1 / 2 / 3	— none —	CECL has no staging. This is the biggest single difference.

Write-offs	Charge-offs	Canadian usage. "Net write-offs" = write-offs less recoveries.
Loans and acceptances	Loans	Bankers' acceptances are a Canadian instrument sitting in the denominator.
Real estate secured lending (RESL)	Mortgage + home equity	TD's standard portfolio grouping.
Insured vs uninsured mortgages	— no direct equivalent —	Canadian mortgage insurance transfers credit risk to the insurer. Do not misread a Canadian portfolio table without this.

04 The delinquency ladder

How an account actually moves — and the two questions that tell you whether a problem is credit or collections.

BUCKETS AND THE FLOW BETWEEN THEM — everything in consumer credit reporting is this picture




```
flow rate (bucket X) = balance in X this cycle that moves to X+1 next cycle ÷ balance in X
cure rate (bucket X) = balance in X that moves backward ÷ balance in X
net flow = gross forward flow − cures ← the only one that changes bucket size
```

Flow INTO 30 up · 30→60 roll FLAT

More people are arriving at the front of the funnel, and those already there are curing normally.

→ A CREDIT problem. Collections is fine.

Flow INTO 30 flat · 30→60 roll UP

The same people are arriving, but fewer of them are curing once they get there.

→ A COLLECTIONS problem.

Ask which of the two moved before naming any cause. It is the single most useful habit in portfolio analysis, and it takes one chart to answer.

Delinquency — always report both versions

```
delinquency rate ($) = balance 30+ days past due   ÷ total outstanding balance
delinquency rate (#) = accounts 30+ days past due  ÷ total accounts
```

If the dollar rate sits **above** the unit rate, the accounts going bad are larger than average. That is a **severity** story — it will show up in losses before it shows up in account counts, and it is a different conversation from "more people are failing."

WATCH THE WRITE-OFF BOUNDARY

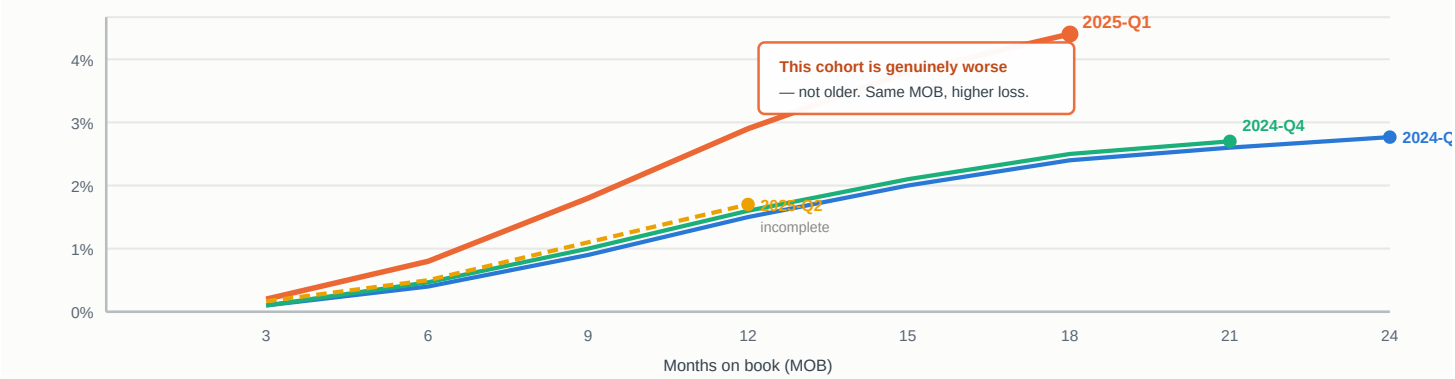
When a loan is written off is a **policy choice** — typically 180 days past due for unsecured revolving, earlier for some products. If that policy or its timing changes, charge-offs move with no change in any borrower's behaviour. Check policy before writing a word about deterioration.

05 Vintage curves

A vintage is a booking cohort — everything originated in the same month or quarter. This is the chart that settles arguments.

Cumulative net loss as % of original booked balance, by months on book

One line per booking cohort. Illustrative shape, not TD data.



Curves overlapping = nothing changed, the book is just maturing. **One curve above the rest at the same MOB** = a genuinely worse cohort.

Separation before 6 MOB points at fraud or a verification failure. **Separation after 18 MOB** points at borrower capacity and the economy, not underwriting.

Why this chart exists: a book growing 20% a year shows a *falling* headline delinquency rate even while every cohort performs worse than the last — the denominator outruns the maturing bad loans. Vintage curves remove growth and maturation from the comparison.

```
cumulative loss %(vintage, mob) = Σ net write-offs through that MOB ÷ original booked balance
```

THE CARDINAL ERROR

Never compare cohorts at different months on book. A six-month-old cohort always looks better than a two-year-old one. Almost every confidently wrong conclusion in consumer credit is a maturation effect read as deterioration. Two related mistakes: using *current* balance as the denominator instead of original (paydown distorts the curve), and drawing a trend from the last two points of an incomplete cohort.

06 Mix versus rate

When a portfolio number moves, there are only three possible reasons. Establishing which one comes before every other analysis.

Delinquency rose 50.5 bps. Where did it actually come from?



Inputs: Branch was 80% of the book at 2.00% delinquency, now 65% at 2.10%. Digital was 20% at 4.00%, now 35% at 4.40%.

Digital roughly doubled its share and carries about twice the delinquency rate — that alone is 30 of the 50.5 bps.

Mix is 60% of the move. The headline overstates deterioration by nearly two-thirds. The committee question becomes "is the channel shift intentional and priced?" — not "is credit quality falling?"

$$\text{Mix effect} = \Sigma\,(w_1 - w_0) \times r_0 = (-0.15)(2.00) + (0.15)(4.00) = +0.300\% = 30.0 \text{ bps}$$

$$\text{Rate effect} = \Sigma\, w_0 \times (r_1 - r_0) = (0.80)(0.10) + (0.20)(0.40) = +0.160\% = 16.0 \text{ bps}$$

$$\text{Interaction} = \Sigma\,(w_1 - w_0)(r_1 - r_0) = (-0.15)(0.10) + (0.15)(0.40) = +0.045\% = 4.5 \text{ bps}$$

$$\text{total} = 50.5 \text{ bps} \checkmark$$

The three possible causes, and how you prove each

CAUSE	WHAT HAPPENED	PROOF
Mix	Same behaviour, different population. You booked more of a riskier segment.	Hold rates fixed, apply the old mix. If the move disappears, it was mix.
Rate	Same population, worse behaviour. Genuine deterioration.	Hold mix fixed, apply the new rates. What is left after mix is rate.
Maturation	Neither. A large cohort simply reached its peak-risk age.	Vintage curves at equal months on book (§5).

WHAT YOU ACTUALLY WRITE

"30+ delinquency rose 50 bps to 2.91%, against an amber threshold of 3.00%. **Mix accounts for 30 bps** — digital grew from 20% to 35% of the book and carries roughly double the branch rate. Underlying performance deteriorated 16 bps, spread across both channels. The remaining 4.5 bps is interaction: the channel that grew is also the one that worsened. The headline overstates deterioration by about two-thirds."

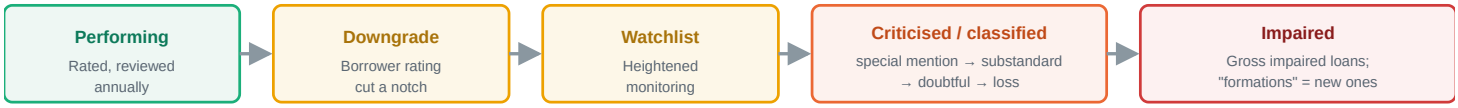
Run this before every cycle's narrative. It takes ten minutes and it is the single most reliable way to be the person in the room whose numbers are trusted. Pick one convention for the interaction term — report it separately, or split it evenly — write it in the appendix, and never change it mid-year.

07 Commercial credit — a different machine

Consumer credit is statistics. Commercial credit is name by name. Almost none of the vocabulary transfers.

CONSUMER	COMMERCIAL
Millions of small, similar exposures No single account matters. Managed as statistical pools.	**A few thousand named borrowers** Each analysed individually. One borrower can move the portfolio number.
Scored by a model Bureau score bands, delinquency buckets, vintage curves, loan-to-value.	**Graded by a credit officer** Internal risk ratings, reviewed at least annually, plus continuous monitoring.
Reported monthly, automated, cut by segment.	*Quarterly review plus a live watchlist.*

HOW A COMMERCIAL CREDIT DETERIORATES — the path you report on



The earliest signal of all sits BEFORE that whole chain: a covenant breach

Covenants are conditions written into the loan — maintain a debt-to-earnings ratio, deliver financial statements on time.

A breach triggers on **financial performance**, not on a missed payment — so it arrives well before anything shows in the credit metrics.

There is no consumer equivalent of a covenant. It is the clearest example of why commercial reporting cannot use a consumer template.

The two ratings — and why there are two

Borrower Risk Rating (BRR)	How likely is *this borrower* to default. Maps to a probability of default. Attaches to the obligor, so it is the same across every facility they have.
Facility Risk Rating (FRR)	How much would we lose on *this particular loan* if they did. Reflects security, seniority, guarantees and structure. Maps to loss given default.

WHY THE SPLIT EXISTS

Two loans to the same company can carry very different expected loss — a senior secured facility and an unsecured one sit behind the same borrower but recover completely differently. It is exactly the probability-versus-severity split from §2, applied name by name.

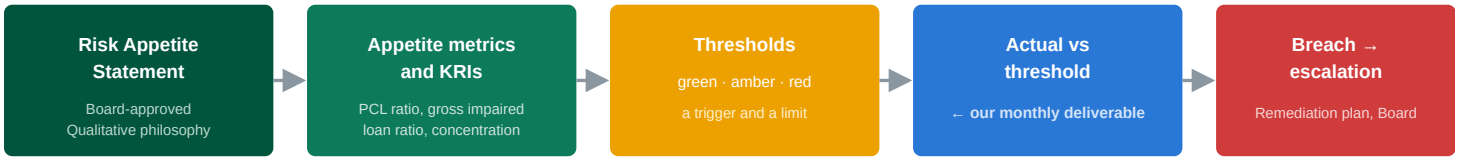
The rest of the commercial vocabulary

Rating migration matrix	Movement between grades over a period. The commercial equivalent of a roll-rate matrix; "net downgrades" is the headline.
Criticised vs classified	US regulatory categories in ascending severity: **special mention** (potential weakness) · **substandard** (well-defined weakness) · **doubtful** (full collection questionable) · **loss**. "Criticised" is special mention and worse; "classified" is substandard and worse. Examiners use these words directly.
Formations	New gross impaired loans in the period. The flow measure — more informative than the stock, which moves slowly.
Exposure at default	In commercial this includes *expected drawdown of undrawn commitments*. Companies draw their revolvers as they deteriorate, so exposure grows at exactly the wrong moment.
Single-name concentration	The largest individual exposures. The dominant commercial limit type, with no consumer equivalent.
Structural concentration	Leveraged lending, commercial real estate, sponsor-backed. These attract regulatory attention as *categories*, independent of any individual credit's quality.

08 Risk appetite — statement to number

The formal answer to "how much risk will we take, and how do we know when we've taken too much."

HOW A BOARD STATEMENT BECOMES A NUMBER IN YOUR MONTHLY REPORT



TRIGGER — an early warning level

Breaching it starts a conversation and creates a watch item. Management attention, no more.

Most of your narrative work is explaining ambers.

LIMIT — a hard boundary

Breaching it requires formal escalation, a documented remediation plan, and board reporting.

Using the two words interchangeably costs you credibility.

TD's three risk appetite principles — quoted from their 2025 annual report

1 · Risks must **"Fit our business strategy and can be understood and managed"**

2 · Risks must **"Do not expose the enterprise to any significant single loss events"** — TD does not "bet the bank"

3 · Risks must **"Do not risk harming the TD brand"**

TD frames risk culture as **"Own it, Raise it and Know it"** — own the risks in your area, escalate rather than sit on issues, understand what you are running. Using their phrasing correctly signals you read their framework rather than a generic one.

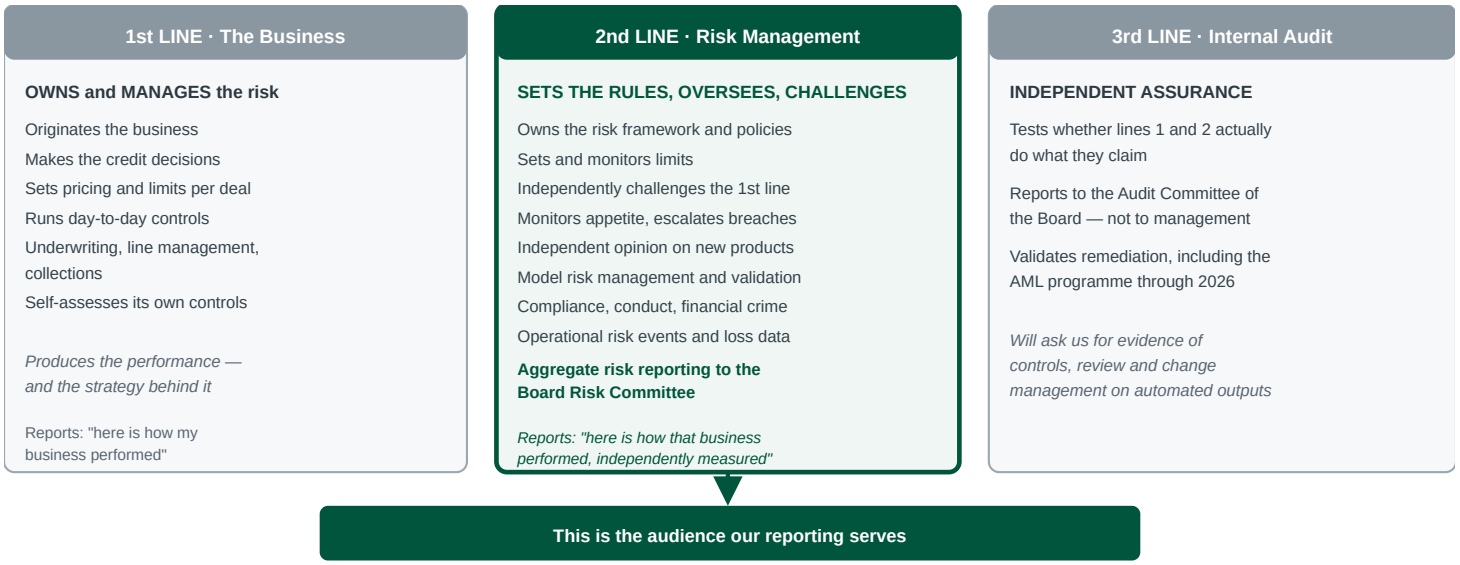
KRI vs KPI	A **Key Risk Indicator** is forward-looking — flow rates, utilisation, the share of new bookings in lower score bands. A **Key Performance Indicator** is an outcome — the loss rate. Appetite frameworks want both: indicators warn, outcomes confirm.
Concentration limits	Separate from performance limits — geography, score band, channel, product, and single-name for larger exposures. Often where a breach appears first.
Calibration	Thresholds go stale. If nothing has ever breached they are too loose; if everything is amber they are meaningless. Raising this thoughtfully is a credible early contribution.

READ TD'S THIRD PRINCIPLE CAREFULLY

"Do not risk harming the TD brand" is not decoration. Given the anti-money-laundering situation (§11 of the brief), reputational and conduct risk carry unusual weight inside TD right now. A proposal that is defensible on pure credit economics but awkward reputationally will meet more resistance there than at most banks.

09 Three lines of defence

Who is responsible for risk — answered three times, deliberately by people who do not report to each other.



Before touching any report, establish which line it belongs to. A second-line report is an independence artifact — which is why traceability to source, metric-definition governance and reconciliation are design requirements, not refinements.

TD's twelve named risk categories

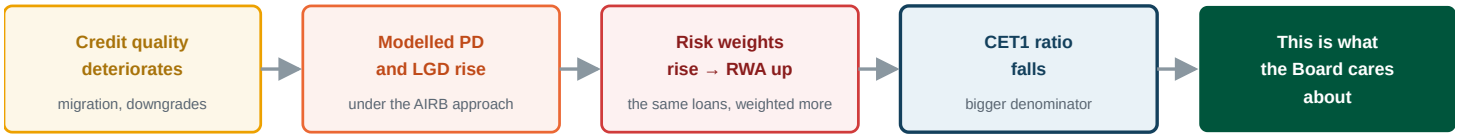
From the Enterprise Risk Framework in the annual report. Credit is one of twelve — the second line oversees all of them, and the appetite dashboard carries metrics for each.

Strategic	**Credit**	**Market**	**Operational** technology, cyber, infrastructure
Model	**Insurance**	**Liquidity**	**Capital adequacy**
Legal	**Regulatory compliance and conduct**	**Reputational**	**Environmental and social**

10 Credit feeds capital

Credit metrics do not sit in isolation. Understanding the link lets you explain why a credit movement matters beyond the loss line.

THE CHAIN FROM A DOWNGRADE TO THE CAPITAL RATIO — before a single loss is realised



`CET1 ratio = Common Equity Tier 1 capital ÷ Risk-Weighted Assets`

RWA = exposures weighted by riskiness. A government bond carries near-zero weight; an unsecured consumer loan carries much more.

The connection to make explicit in a narrative

Credit migration has a **capital** consequence as well as a provision consequence. A wave of Stage 1 → Stage 2 migration, or a batch of commercial downgrades, is a capital story — and saying so connects your reporting to what the senior audience actually cares about.

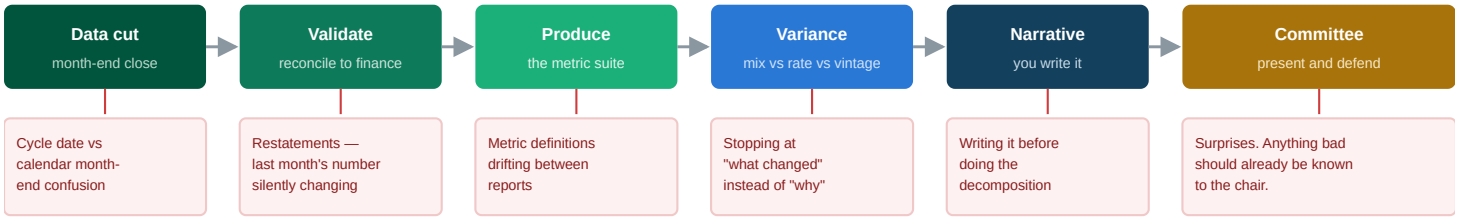
Q1 FY26 reported figures: CET1 14.5% · Tier 1 16.3% · Total Capital 18.1% · Leverage 4.5% · TLAC 31.1%.

CET1	Common Equity Tier 1 — the highest-quality capital, essentially common shares and retained earnings. The headline solvency measure.
Leverage ratio	Capital against total exposure with no risk weighting — a backstop that does not depend on risk models.
TLAC	Total Loss Absorbing Capacity — capital plus certain debt that could absorb losses in a resolution. Applies to systemically important banks.
LCR / NSFR	Liquidity Coverage Ratio and Net Stable Funding Ratio — liquidity rather than solvency. Can the bank survive a 30-day stress, and is its funding appropriately long-term.
AIRB	Advanced Internal Ratings Based — the approach where the bank uses its own PD, LGD and EAD models to set risk weights, subject to supervisory approval. The alternative is the Standardised approach with prescribed weights.

11 The monthly cycle

What actually happens between the data cut and the committee, and where it goes wrong.

THE CYCLE — and the failure mode at each step



THE NARRATIVE — four questions, in this order, every cycle

1 · What moved?	Metric, direction, magnitude in bps or dollars, versus which baseline. One sentence.
2 · Why?	Mix vs rate vs maturation, then the specific driver. **This is the whole job.**
3 · Inside appetite?	Actual vs threshold, and the trajectory — heading toward the limit or away from it.
4 · What are we doing?	Tie it to a lever: acquisition quality, line management, or loss mitigation.

Name what you ruled out. "This is not mix — holding origination mix constant, the increase is 11 of the 14 bps" pre-empts the first challenge and shows method rather than asserting a conclusion.

12 Glossary

Every acronym in this document, in full.

SHORT	FULL FORM	WHAT IT MEANS
ABL	Asset-Based Lending	Lending against receivables and inventory, monitored via a borrowing base
ACL	Allowance for Credit Losses	The balance-sheet reserve held against expected losses
AIRB	Advanced Internal Ratings Based	Using the bank's own PD/LGD/EAD models to set regulatory capital
AML	Anti-Money Laundering	Controls against illicit funds; subject of TD's 2024 consent order
BCBS 239	Basel Committee on Banking Supervision, standard 239	Principles for risk data aggregation and risk reporting — accuracy, completeness, timeliness, adaptability, clarity
BRR	Borrower Risk Rating	Commercial grade for probability of default, attaching to the obligor
CECL	Current Expected Credit Loss	The US GAAP loss model — lifetime expected loss from day one, no staging
CET1	Common Equity Tier 1	Highest-quality capital; the headline solvency ratio
CLTV	Combined Loan-To-Value	All liens on a property divided by its value
CRE	Commercial Real Estate	Lending on income-producing property
DPD	Days Past Due	How overdue a payment is; defines the delinquency buckets
EAD	Exposure At Default	Amount outstanding when default occurs, including expected drawdown
ECL	Expected Credit Loss	PD × LGD × EAD — the IFRS 9 loss estimate
FLI	Forward-Looking Information	Probability-weighted macroeconomic scenarios feeding the loss estimate
FRR	Facility Risk Rating	Commercial grade for loss given default, attaching to the individual loan
GIL	Gross Impaired Loans	Stock of impaired exposure — the Canadian term for non-performing loans
HELOC	Home Equity Line Of Credit	Revolving credit secured on home equity
IFRS 9	International Financial Reporting Standard 9	The three-stage expected credit loss model TD reports under
KRI / KPI	Key Risk Indicator / Key Performance Indicator	Forward-looking risk measure vs outcome measure
LBO	Leveraged Buyout	Debt-financed acquisition of a company
LCR	Liquidity Coverage Ratio	Can the bank survive a 30-day liquidity stress
LGD	Loss Given Default	Fraction of exposure lost when a default occurs
LTV	Loan-To-Value	Loan balance divided by collateral value
MOB	Months On Book	Age of an account since origination; the x-axis of a vintage curve
NSFR	Net Stable Funding Ratio	Is the bank's funding appropriately long-term
OCC	Office of the Comptroller of the Currency	US national bank regulator
OSFI	Office of the Superintendent of Financial Institutions	Canada's prudential regulator; TD's primary supervisor

PCL	Provision for Credit Losses	The income-statement charge; split performing vs impaired
PD	Probability of Default	Likelihood a borrower defaults over a horizon
RESL	Real Estate Secured Lending	TD's grouping of residential mortgages plus home equity
RWA	Risk-Weighted Assets	Exposures weighted by riskiness; the denominator of the capital ratios
SICR	Significant Increase in Credit Risk	The trigger moving a loan from Stage 1 to Stage 2
SR 11-7	Supervisory Requirement 11-7	US Federal Reserve / OCC guidance on model risk management
TLAC	Total Loss Absorbing Capacity	Capital plus certain debt available to absorb losses in resolution
UDAAP	Unfair, Deceptive or Abusive Acts and Practices	US conduct standard applying to lending, collections and communications

Using this with Sarah

- Send her the **brief**, not these notes. The brief is the work product; this is the scaffolding behind it.
- Lead with the two points that go past the assignment: **the reporting-basis question** — IFRS 9 versus CECL, and which applies to which report in scope — and **BCBS 239** as the standard the automation work should be anchored to.
- Bring the open questions from the brief's final section. Arriving with sharp questions reads as further along than arriving with only answers.
- Refresh the figures before anything goes external. Quarterly numbers move and the AML remediation position is actively changing.